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Exclusive Study Material & Notes -

Grade – FYJC Commerce 2024

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Course – Organisation of Commerce (OCM)

Chapter 1 – Intro. of Commerce & Business.

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Chapter 1: Introduction to Commerce and Business

1.1 Introduction

Human activities are classified into two main types:

- **Economic Activities:** Involve production, distribution, and consumption of goods and services for monetary gain.
- **Non-Economic Activities:** Performed for personal, social, or cultural satisfaction without expecting financial rewards.

1.2 Non-Economic Activities

Definition: Activities performed to fulfill personal, social, religious, or cultural needs without expecting monetary compensation.

Examples:

- **Reading Books:** Done for personal enjoyment and intellectual growth.
- **Volunteering:** Helping others or contributing to a cause without financial gain.
- **Home Cooking:** Preparing meals for family, not intended for sale or profit.

1.3 Economic Activities

Definition: Activities involving the production, distribution, and consumption of goods and services for monetary benefits.

1.3.1 Business

Definition: Organized efforts to produce and sell goods or services to earn a profit.

Characteristics/Features of Business:

1. An Economic Activity:

- **Purpose:** The primary aim is to generate income or profit.
- **Motivation:** Driven by financial goals rather than personal satisfaction or emotional fulfillment.

2. Two Parties:

- **Seller:** Provides goods or services.
- **Buyer:** Purchases goods or services.
- **Exchange:** Transactions occur through monetary payment or barter.

3. Profit Motive:

- **Objective:** Aim to maximize profits through efficient operations.
- **Profit Generation:** Achieved by increasing sales volume or reducing costs.
- **Sustainability:** Profit is essential for long-term survival and growth.

4. Production of Goods and Services:

- **Production:** Involves creating goods either through manufacturing or acquiring from suppliers.
- **Types:** Goods can be consumer goods (directly used) or capital goods (used to produce other goods).

5. **Exchange of Goods and Services:**

- **Monetary Exchange:** Transactions are conducted using money (e.g., buying a notebook for cash).
- **Barter System:** Exchange of goods and services without money (e.g., exchanging wheat for rice).

6. **Dealings in Goods and Services:**

- **Goods:** Tangible products like tea, milk, or machinery.
- **Services:** Intangible products such as banking, insurance, and transportation.
- **Importance:** Essential for fulfilling various consumer needs and supporting business operations.

7. **Continuity in Dealings:**

- **Regular Transactions:** Business involves ongoing operations rather than isolated sales.
- **Example:** A car dealer regularly buys and sells cars, whereas selling a personal vehicle once is not considered business.

8. **Uncertain Returns:**

- **Risk of Loss:** Profits are not guaranteed and can fluctuate.
- **Profit Variability:** Depends on market conditions, competition, and business decisions.

9. **Element of Risk:**

- **Types of Risks:** Includes financial loss, market changes, natural disasters, and operational hazards.
- **Risk Management:** Businesses try to minimize risks through planning, insurance, and diversification.

10. **Customer Satisfaction:**

- **Objective:** Providing quality products and services to meet customer needs.

- **Customer Retention:** Focus on maintaining and enhancing customer relationships for repeat business.

1.3.2 Profession

Definition: Economic activity involving specialized knowledge and skills to provide services in exchange for payment.

Features:

1. **Aim:**

- **Service and Income:** Provide professional services to solve client problems and earn fees.

2. **Qualification:**

- **Education and Training:** Requires formal education and specialized training (e.g., medical degree for doctors).
- **Certification:** Often needs certification or licensing (e.g., Chartered Accountant).

3. **Financial Returns:**

- **Income Structure:** Professionals earn fees or salaries based on their services.
- **Variability:** Income can vary based on experience, reputation, and type of practice (e.g., private vs. employed).

4. **Capital:**

- **Independent Practice:** May require significant investment for setting up practice (e.g., medical equipment).
- **Employment:** Salaried professionals do not need personal capital.

5. **Registration and Membership:**

- **Regulatory Bodies:** Must register with professional bodies (e.g., Bar Council for lawyers, ICAI for accountants).
- **Code of Conduct:** Adhere to ethical standards and professional guidelines set by these bodies.

6. **Non-Transferability:**

- **Personal Skills:** Professional skills and licenses are not transferable to others without proper qualifications.
- **Example:** A doctor's practice cannot be transferred to an unqualified person.

7. **Nature of Work:**

- **Expert Services:** Providing specialized knowledge and advice (e.g., legal counsel, medical treatment).
- **Client Interaction:** Work involves direct interaction with clients to deliver professional services.

1.3.3 Employment

Definition: Economic activity where individuals work for others under a contractual agreement in exchange for wages or salary.

Features:

1. **Aim:**

- **Income Generation:** Employees work to earn a livelihood and meet personal needs.

2. **Qualifications:**

- **Job Requirements:** Varies from skilled to unskilled positions (e.g., nurse requires specific qualifications, office boy does not).
- **Training:** Specific training or education may be required based on job role.

3. **Monetary Returns:**

- **Wages and Salaries:** Employees receive regular payments (e.g., weekly wages, monthly salaries).
- **Benefits:** Additional perks like bonuses, health insurance, and retirement plans may be provided.

4. **Capital:**

- **No Investment:** Employees do not need to invest capital; the employer provides the necessary resources and infrastructure.

5. **Registration:**

- **Employment Contract:** Employees follow the terms and conditions outlined in their employment contract.
- **Regulations:** Must comply with labor laws and company policies.

6. **Non-Transferability:**

- **Employment Position:** Jobs cannot be transferred to others; each position is unique to the employee.

7. **Nature of Work:**

- **Assigned Tasks:** Employees perform specific tasks as assigned by their employer.
- **Work Role:** Defined by job description and responsibilities.

1.4 Business Objectives

Economic Objectives:

- **Earning Profit:** Essential for business survival and growth.
- **Searching New Customers:** Expanding customer base and market reach.
- **Innovations:** Investing in R&D to enhance products and processes.
- **Best Possible Use of Resources:** Efficient use of resources to maximize profit.

Social Objectives:

- **Supplying Quality Products:** Ensuring products meet safety and quality standards.
- **Avoiding Unfair Trade Practices:** Conducting business ethically and avoiding practices like black marketing.
- **Employment Generation:** Creating job opportunities for various skill levels.

- **Welfare of Employees:** Providing fair wages, good working conditions, and employee benefits.
- **Help to Solve Social Problems:** Addressing issues such as pollution and urban congestion.
- **Contributing to Society:** Engaging in philanthropic activities and supporting community welfare.

1.5 Role of Profit in Business

Profit is the surplus of revenue over costs and serves several roles:

- **Returns to Investors:** Provides returns on investment and attracts capital.
- **Research and Development (R&D):** Funds innovation and technological improvements.
- **Growth and Expansion:** Facilitates business expansion and diversification.
- **Increases Efficiency:** Enhances operational efficiency and employee motivation.
- **Means of Livelihood:** Supports the standard of living for business owners.
- **Reward for Risks:** Compensates for business risks and uncertainties.
- **Survival:** Ensures business continuity and competitiveness.

1.6 Classification of Business Activities

i) **Industry:** Economic activities related to production and processing of goods.

- **Primary Industry:** Extraction of natural resources (e.g., agriculture, mining).
- **Secondary Industry:** Manufacturing and construction (e.g., textiles, buildings).
- **Tertiary Industry:** Services supporting other industries (e.g., transport, banking).

ii) **Commerce:** Concerned with the distribution of goods and services.

- **Trade:**
 - **Home Trade/Internal Trade:** Buying and selling within a country (e.g., wholesale, retail).
 - **Foreign Trade/External Trade:** Buying and selling across countries (e.g., import, export).
- **Auxiliaries to Trade:**
 - **Transport:** Facilitates movement of goods.
 - **Warehousing:** Storage of goods until needed.
 - **Insurance:** Protection against risks and losses.
 - **Banking:** Provides financial services and funding.
 - **Advertising:** Promotes goods and services.
 - **Mercantile Agents:** Intermediaries in trade.
 - **Communication:** Facilitates information exchange.

Important - Distinguish Between

1. Industry and Commerce

Sr. No.	Point of Difference	Industry	Commerce
1	Meaning	Engaged in the production of goods and services.	Engaged in the distribution of goods and services.
2	Location	Located in factories and workshops.	Conducted in markets and offices.
3	Utility	Creates form utility (transforming raw materials into finished goods).	Creates place, time, and possession utility (making goods available to consumers, at the right time, and in the right place).
4	Resources	Utilizes machines and manpower.	Requires more manpower than machinery.
5	Capital	Requires huge capital investment to start.	Requires comparatively less capital.
6	Interdependence	Industrial activities are meaningless without commerce to distribute the produced goods.	Commercial activities cannot commence without the production of goods and services by industries.
7	Conducted by	Producers and manufacturers.	Traders, mercantile agents, etc.
8	Status	Primary importance in the economic cycle.	Secondary importance as it supports the distribution of goods.
9	Classification	Classified into Primary, Secondary, and Tertiary industries.	Classified into Trade and Auxiliaries to Trade.
10	Market Force	Represents the supply side of the market (production).	Represents both demand and supply sides of the market (distribution and sale).

2. Business, Profession, and Employment

Sr. No.	Point of Difference	Business	Profession	Employment
1	Meaning	Goods and services are produced and distributed.	Expert services are rendered.	One person works under another person.
2	Reward / Return	Profit is earned.	Fees are charged for services rendered.	Wages or salary is received.
3	Capital Investment	Depends on size and nature of business.	Limited capital investment required, especially for self-employed professionals.	No capital investment necessary.

Sr. No.	Point of Difference	Business	Profession	Employment
4	Nature of Work	Provides goods and services to the public.	Renders personalized expert services.	Performs work as per the service contract.
5	Qualification	No minimum qualification prescribed.	Requires expert knowledge and formal training in a specific field.	Prescribed by the employer based on the job requirements.
6	Decision Making	Businessmen are free to make their own decisions.	Professionals make expert decisions related to their field.	Employees do not have decision-making authority; decisions are made by the employer.
7	Risk	Profit is uncertain and irregular; hence, high risk is present.	Fees can be irregular and uncertain, but generally lower risk.	Fixed and regular pay with no risk involved.
8	Examples	Builders, Grocers, Supermarkets, etc.	Doctors, Chartered Accountants, Lawyers, etc.	Clerks, Teachers, Officers, etc.

3. Business and Commerce

Sr. No.	Point of Difference	Business	Commerce
1	Meaning	An economic activity that deals with both the production and distribution of goods and services.	A part of business specifically concerned with the distribution of goods and services.
2	Concept	Broader concept encompassing all aspects of business, including commerce.	Narrower concept focusing solely on distribution and trade aspects of business.
3	Skill	Requires both technical and marketing skills for effective operation.	Requires primarily marketing skills for facilitating the distribution of goods.
4	Classification	Classified into Industry and Commerce.	Classified as Trade and Auxiliaries to Trade.

Exercise Solutions (Proper Formatted)

Chapter 1 – Intro to Commerce & Business

Q.1 A) Select the correct option and rewrite the sentence.

1. A Lawyer is

- a) a Professional person
- **Answer:** A Lawyer is a **Professional person**.

2. Raw material is converted into finished product by industry.

- a) genetic
- b) extractive
- c) manufacturing
- **Answer:** Raw material is converted into finished product by **manufacturing** industry.

3. Actual buying and selling of goods is known as

- a) profession
- b) trade
- c) industry
- **Answer:** Actual buying and selling of goods is known as **trade**.

4. **National level code of conduct is prepared for**

- a) professionals
- b) businessmen
- c) employees
- **Answer:** National level code of conduct is prepared for **professionals**.

5. **Construction of dams is an activity done under industry.**

- a) primary
- b) secondary
- c) tertiary
- **Answer:** Construction of dams is an activity done under **secondary** industry.

6. **The problem of distance is solved by**

- a) bank
- b) transport
- c) warehousing
- **Answer:** The problem of distance is solved by **transport**.

7. **Commerce is a branch of**

- a) business
- b) industry
- c) trade
- **Answer:** Commerce is a branch of **business**.

8. **Monetary Returns in business is called.....**

- a) fees
- b) salary
- c) profit
- **Answer:** Monetary Returns in business is called **profit**.

9. **A business unit depends uponfor selling its output.**

- a) industry
- b) society
- c) employees
- **Answer:** A business unit depends upon **society** for selling its output.

10. **Warehousing creates..... utility in goods.**

- a) place
- b) time
- c) form
- **Answer:** Warehousing creates **time** utility in goods.

Q.1 B) Match the pairs.

Group 'A'

Group 'B'

A) Helping disabled person 1) Social objective

B) Genetic Industry 3) Sericulture

C) Local currency 5) Internal Trade

D) Solve social problems 4) Non-economic activity

2) Foreign Trade

6) Mining

7) Profit

8) Economic activity

Answers:

- A) Helping disabled person – **1) Social objective**
- B) Genetic Industry – **3) Sericulture**
- C) Local currency – **5) Internal Trade**
- D) Solve social problems – **4) Non-economic activity**

Q.1 C) Give one word / phrase / term for the following sentences.

1. **A regular activity concerned with production and distribution of goods and services for profits.**
 - **Answer:** Business
2. **Human activities that are conducted for earning money.**
 - **Answer:** Economic Activities
3. **Buying and selling of goods against money or money's worth.**
 - **Answer:** Trade
4. **Activities that remove all the difficulties in trade.**
 - **Answer:** Auxiliaries to Trade
5. **The type of industries that create immovable wealth.**
 - **Answer:** Primary Industries
6. **Name the business activity which is concerned with production of goods and services.**
 - **Answer:** Industry
7. **Name the business activity which is concerned with distribution of goods and services.**
 - **Answer:** Commerce
8. **The activity which provides mobility to men and material.**
 - **Answer:** Transport
9. **An aid to trade which creates time utility.**
 - **Answer:** Warehousing

10. An occupation by which a person agrees to provide expert services for a fee.

- **Answer:** Profession

Q.1 D) State True or False.

1. Business is an economic activity.

- **Answer:** True

2. Every profession is practiced for earning money.

- **Answer:** True

3. Primary industries are concerned with nature.

- **Answer:** True

4. Trade includes commerce.

- **Answer:** True

5. Warehousing removes difficulty of time.

- **Answer:** True

6. Trade includes buying and selling of goods and services.

- **Answer:** True

7. Profit leads to increase in overall efficiency of the organization.

- **Answer:** True

8. Plant nursery is an example of extractive industry.

- **Answer:** False (Plant nursery is an example of Genetic Industry)

9. Industry creates form utility.

- **Answer:** True

10. Retailer is the link between manufacturer and wholesalers.

- **Answer:** False (Retailer is the link between wholesaler and ultimate consumers)

Q.1 E) Find the odd one.

1. Agricultural Industry, Extractive Industry, Genetic Industry, Manufacturing Industry.

- **Answer:** Agricultural Industry (It is a type of Primary Industry, while others are types of Secondary Industries)

2. Import Trade, Export Trade, Wholesale Trade, Entrepot Trade.

- **Answer:** Wholesale Trade (It is a type of trade, while others are types of Foreign Trade)

3. Banking, Insurance, Transport, Manufacturing.

- **Answer:** Manufacturing (It is an industry, while others are auxiliaries to trade)

4. Tea, Milk, Coffee, Machinery.

- **Answer:** Machinery (It is not a consumable good, unlike the others)

Q.1 F) Complete the sentences.

1. **Economic activities are those activities which are conducted to**
 - **Answer:** earn money
2. **..... includes marketing of goods and services.**
 - **Answer:** Commerce
3. **Business is an activity.**
 - **Answer:** economic
4. **The basic purpose of is to earn profit.**
 - **Answer:** business
5. **Professionals charge in exchange of expert services.**
 - **Answer:** fees
6. **..... is the person who offers the work.**
 - **Answer:** Employer
7. **..... is considered as a reward for assuming several business risks.**
 - **Answer:** Profit
8. **Industry creates utility.**
 - **Answer:** form
9. **In trade, goods are purchased and sold in bulk.**
 - **Answer:** wholesale
10. **..... is the link between wholesaler and customer.**
 - **Answer:** Retailer

Q.1 G) Complete the following table.

A

B

Trade between different countries

External Trade

Purchases of goods and services from another country

Import Trade

Selling of goods and services to foreign customers

Export Trade

Link between producer and retailer

Wholesaler

Q.1 H) Answer in one sentence.

1. What is an Economic Activity?

- **Answer:** An economic activity is any activity performed with the intention of earning money.

2. What is Non-economic Activity?

- **Answer:** Non-economic activity is an activity performed for personal satisfaction or social welfare, not for financial gain.

3. What do you mean by Wholesale Trade?

- **Answer:** Wholesale trade refers to the buying and selling of goods in bulk, typically to retailers rather than directly to consumers.

4. What is the meaning of Retail Trade?

- **Answer:** Retail trade is the sale of goods and services directly to consumers for personal use.

5. What do you mean by Import Trade?

- **Answer:** Import trade is the purchase of goods and services from other countries.

6. What is the meaning of Export Trade?

- **Answer:** Export trade is the sale of goods and services to other countries.

7. What is an Entrepot Trade?

- **Answer:** Entrepot trade is a form of trade where goods are imported into a country for the purpose of re-exporting them to other countries.

8. What is meant by Auxiliaries to Trade?

- **Answer:** Auxiliaries to trade are services and activities that support and facilitate the trading process, such as banking, insurance, and transport.

9. What is Trade?

- **Answer:** Trade is the buying and selling of goods and services.

10. What do you mean by Commerce?

- **Answer:** Commerce encompasses all activities related to the exchange of goods and services, including trade and auxiliary services.

11. What is Primary Industry?

- **Answer:** Primary industry involves extracting or harvesting natural resources, such as agriculture, mining, and forestry.

12. What is Secondary Industry?

- **Answer:** Secondary industry involves manufacturing and processing raw materials into finished goods.

13. What do you mean by Genetic Industry?

- **Answer:** Genetic industry is involved in the production and breeding of plants and animals, such as sericulture and dairy farming.

Q.2 Explain the following terms/concepts.

1. Business:

- **Answer:** Business refers to the economic activity of producing and distributing goods and services to earn a profit. It encompasses various forms of trade, industry, and commerce.

2. Profession:

- **Answer:** A profession is a specialized occupation requiring expert knowledge and training, where individuals offer specialized services in exchange for fees.

3. Employment:

- **Answer:** Employment is the condition of working for someone else in exchange for wages or salary. It involves following the directions and policies of an employer.

4. Home Trade:

- **Answer:** Home trade refers to the buying and selling of goods and services within a country, also known as internal trade.

5. Foreign Trade:

- **Answer:** Foreign trade is the exchange of goods and services between countries, also known as international trade.

6. Economic Activity:

- **Answer:** Economic activity involves actions that are undertaken to earn money, including production, distribution, and consumption of goods and services.

7. Non-economic Activity:

- **Answer:** Non-economic activity is carried out for personal satisfaction, social welfare, or community service, not for financial gain.

Q.3 Study the following case/situation and express your opinion.

1. **Jaysukh oil mills produce refined oil. The entire production is purchased by Rupesh oil Depot, who in turn sells it to various retailers. Mrs. Prachi purchased 2 kg oil from Balaji Groceries. Identify:**
 - i) **Wholesaler:** Rupesh Oil Depot
 - ii) **Retailer:** Balaji Groceries
 - iii) **Consumer:** Mrs. Prachi
2. **Mr. Pranav is a tin manufacturer in India. Mr. Jack of England sells goods to M/s. Frank Corporation in North America and Mr. Williams of USA buys various goods from Brazil. Identify:**
 - i) **Importer:** M/s. Frank Corporation (importing goods from Mr. Jack)
 - ii) **Manufacturer:** Mr. Pranav (tin manufacturer)
 - iii) **Exporter:** Mr. Jack (selling goods to North America)

Q.4 Distinguish between.

1. Industry and Commerce

Point of Difference	Industry	Commerce
Meaning	Engaged in production of goods and services	Engaged in distribution of goods and services
Location	Factories and workshops	Markets and offices
Utility	Creates form utility	Creates place, time, and possession utility

Point of Difference	Industry	Commerce
Resources	Uses machines and manpower	Requires more manpower
Capital	Huge capital is required	Comparatively less capital required
Interdependence	Industrial activities are meaningless without commerce	Commercial activities cannot start without production
Conducted By	Producers and manufacturers	Traders, mercantile agents
Status	Primary importance	Secondary importance
Classification	Primary, Secondary, Tertiary	Trade and Auxiliaries to Trade
Market Force	Represents supply side of market	Represents demand and supply side of market

2. Business and Commerce

Point of Difference	Business	Commerce
Meaning	Deals with production and distribution of goods and services	Part of business concerned with distribution of goods and services
Concept	Broader concept including commerce	Narrow concept as it is part of business
Skill	Requires technical and marketing skill	Requires only marketing skill
Classification	Classified into Industry and Commerce	Classified as trade and auxiliaries to trade

3. Business and Profession

Point of Difference	Business	Profession
Meaning	Produces and distributes goods and services	Provides expert services
Reward/Return	Earns profit	Charges fees
Capital Investment	Depends on size and nature of business	Limited, except self-employed professionals
Nature of Work	Provides goods and services	Provides personalized expert services

Point of Difference	Business	Profession
Qualification	No minimum qualification	Expert knowledge and training needed
Decision Making	Free to take decisions	Expert decisions in their profession
Risk	High risk due to uncertain profit	Generally regular fees
Examples	Builders, Grocers	Doctor, CA, Lawyer

4. Employment and Profession

Point of Difference	Employment	Profession
Meaning	Works under someone else	Provides expert services
Reward/Return	Receives wages or salary	Charges fees
Capital Investment	No capital required	Limited capital investment
Nature of Work	Follows service contract	Provides personalized services
Qualification	Prescribed by employer	Expert knowledge and training needed
Decision Making	No decision power	Expert decisions

Point of Difference	Employment	Profession
Risk	Fixed and regular pay	Generally regular fees
Examples	Clerk, Teacher	Doctor, CA

Q.5 Answer in brief.

1. State any four features of profession:

- **Answer:**
 - Requires specialized knowledge and training.
 - Provides personalized services.
 - Operates under a code of conduct.
 - Rewards are in the form of fees.

2. State any two types of industries:

- **Answer:**
 - Primary Industry
 - Secondary Industry

3. Give two types of Foreign Trade:

- **Answer:**
 - Import Trade
 - Export Trade

4. State any four Auxiliaries to Trade:

○ **Answer:**

- Banking
- Insurance
- Transport
- Warehousing

5. State any four features of employment:

○ **Answer:**

- Works under an employer.
- Receives a fixed wage or salary.
- Has prescribed qualifications.
- No risk associated with pay.

6. Write any four objectives of business:

○ **Answer:**

- Earning Profit
- Providing Employment
- Satisfying Consumer Needs
- Improving Standard of Living

7. State any four features of business:

○ **Answer:**

- Involves production and distribution of goods and services.
- Aims to earn profit.
- Requires capital investment.

- Involves risk and uncertainty.

8. State any two types of primary industry:

○ **Answer:**

- Agriculture
- Mining

Q.6 Justify the following statements.

1. Retailer is in direct contact with ultimate consumers.

- **Answer:** True. Retailers sell goods directly to the end customers, making them the final link in the distribution chain.

2. Commerce is a wider term than Trade.

- **Answer:** True. Commerce includes all activities related to the exchange of goods and services, including trade and auxiliary services.

3. Risk is inevitable in business activities.

- **Answer:** True. Business involves uncertainties and risks such as market fluctuations and operational challenges.

4. Combination of Import-export trade is entrepot trade.

- **Answer:** True. Entrepot trade involves importing goods for the purpose of re-exporting them to other countries.

5. Transport creates place utility.

- **Answer:** True. Transport helps in moving goods from one location to another, thereby creating place utility.

6. Industrial activities take place before commerce starts its role.

- **Answer:** True. Industries produce goods that commerce later distributes to consumers.

7. Available resources should be used to its maximum.

- **Answer:** True. Efficient use of resources maximizes productivity and profitability.

8. Wholesaler is a link between retailer and manufacturer.

- **Answer:** True. Wholesalers buy in bulk from manufacturers and sell in smaller quantities to retailers.

9. Business is a part of economic activities.

- **Answer:** True. Business activities are conducted to earn money and contribute to the economy.

10. Changing fashions is one of the important causes of business risk.

- **Answer:** True. Changing consumer preferences and fashion trends can lead to uncertainty and risk in business.

Q.7 Attempt the following.

1. What do you mean by commerce?

- **Answer:** Commerce refers to all activities involved in the buying and selling of goods and services, including trade and auxiliary services like banking and insurance.

2. What is the meaning of export trade?

- **Answer:** Export trade is the sale of goods and services produced in one country to buyers in another country.

3. State the role of auxiliaries to trade in trading activities.

- **Answer:** Auxiliaries to trade provide essential support services such as banking, insurance, transport, and warehousing, which facilitate smooth trading operations.

4. What are the different types of secondary industries?

- **Answer:** The different types of secondary industries include:
 - Manufacturing Industry
 - Construction Industry

5. State the types of human activities.

- **Answer:** The types of human activities are:
 - Economic Activities
 - Non-Economic Activities

6. Describe the scope of internal trade.

- **Answer:** Internal trade, also known as home trade, includes all activities related to buying and selling goods and services within a country. It encompasses wholesale and retail trade.

7. How does banking and insurance help trading?

- **Answer:** Banking provides financial services such as loans and credit, essential for business operations, while insurance protects against financial losses due to risks and uncertainties in trading.

Q.8 Answer the following.

1. Give comparative analysis of business, profession, and employment.

Point of Difference	Business	Profession	Employment
Definition	Activity involving production and distribution of goods/services for profit	Specialized occupation offering expert services for fees	Working under an employer for wages or salary
Return	Profit	Fees	Wages/Salary
Investment	Requires capital investment	Minimal capital required	No capital required
Risk	Involves risk and uncertainty	Low risk; regular fees	Fixed salary, low risk
Qualification	Varies by industry	Requires specialized education/training	Defined by job requirements
Decision Making	Owner makes decisions	Professional makes decisions	Employer makes decisions
Examples	Retail stores, manufacturing units	Doctors, lawyers	Teachers, clerks

2. Define Business & Explain its features.

- **Definition:** Business is an economic activity that involves the production, distribution, and sale of goods and services with the aim of earning profit.
- **Features:**
 - **Profit Motive:** The primary goal is to earn profit.
 - **Risk and Uncertainty:** Involves financial and operational risks.
 - **Capital Investment:** Requires investment of money and resources.
 - **Production and Distribution:** Involves creating and distributing goods/services.
 - **Customer Focus:** Aims to satisfy consumer needs.

3. Describe various objectives of a business.

- **Objectives of a Business:**
 - **Earning Profit:** To generate financial returns for the owners.
 - **Providing Employment:** To create job opportunities.
 - **Satisfying Consumer Needs:** To meet the needs and preferences of customers.
 - **Contributing to Economic Development:** To support economic growth and development.
 - **Innovating and Improving:** To introduce new products and improve existing ones.

4. **Explain the importance of profit in business.**

- **Answer:** Profit is crucial for business as it:
 - **Sustains Operations:** Ensures the business can continue to operate and grow.
 - **Provides Incentive:** Motivates owners and employees by rewarding their efforts.
 - **Facilitates Investment:** Allows reinvestment in the business for expansion and development.
 - **Measures Success:** Indicates the effectiveness of business strategies and operations.
 - **Attracts Investors:** Encourages investment by demonstrating potential returns.

.....

HOPE THIS HELPS! All the best. Doing this much in exams will suffice 😊

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